File Smarter, Not Harder: W-2 and 1099 Prep for 2025

Presented By:
Jaime Lizotte, Director HR & Tax Products

December 2025

FORMSTAX efile4biz™

Welcome!

Before we get started…

- Feel free to post questions
- Inquiries not answered today will be answered by email
- More information links on the slides
- Presentation available in the platform portal
- Links to our electronic filing solution

Today's Agenda

- OB^3
- Form Updates W-2, 1099, 1042-S
- FIRE IRIS Updates
- ACA Form Updates
- IRS Independent Contractor Rules
- Electronic Filing Demonstration

OB^3 2025 Form Changes

FORMSTAX efile4biz™

OB^3 2025

The One Big Beautiful Bill Act (OBBBA) July 2025

- No changes to forms for 2025
- Deduction for tips and/or overtime shown on W-2, 1099-NEC, 1099-MISC or 1099-K
- Deduction for vehicle loan interest
- Employer solution later in the presentation

https://www.irs.gov/newsroom/one-big-beautiful-bill-provisions

INFORMATION RETURN UPDATES

FORMSTAX efile4biz™

2025 Form Updates

Discontinued Copy for Filer, Issuer, Payer, etc.

- Most forms it was Copy C/D

Continuous Use Forms

- Removed the “20__”
- Calendar year field will be blank
- Issuer fills in the year being filed

For calendar year

_____

All forms new “Created Date”

- Indicates a update to the form occurred during the year

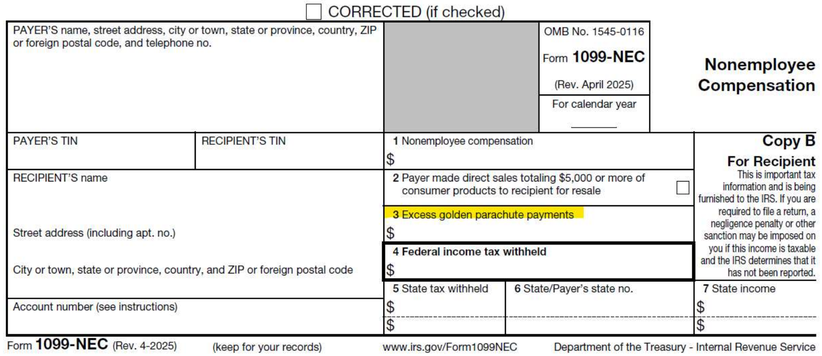
(2025) Created 5/28/25

2025 Form Updates Continued

Excess Golden Parachute Payments

- From Box 14 1099-MISC
- To Box 3 1099-NEC

(Cannot be filed to IRS in FIRE system)


CORRECTED (if checked)

PAYER'S name, street address, city or town, state or province, country, ZIP or foreign postal code, and telephone no.

OMB No. 1545-0116
Form **1099-NEC**
(Rev. April 2025)
For calendar year

Nonemployee Compensation

PAYER'S TIN | RECIPIENT'S TIN

1 Nonemployee compensation $

2 Payer made direct sales totaling $5,000 or more of consumer products to recipient for resale ☐

3 Excess golden parachute payments $

4 Federal income tax withheld $

RECIPIENT'S name

Street address (including apt. no.)

City or town, state or province, country, and ZIP or foreign postal code

Account number (see instructions)

5 State tax withheld $ $

6 State/Payer's state no.

7 State income $ $

Copy B
For Recipient
This is important tax information and is being furnished to the IRS. If you are required to file a return, a negligence penalty or other sanction may be imposed on you if this income is taxable and the IRS determines that it has not been reported.

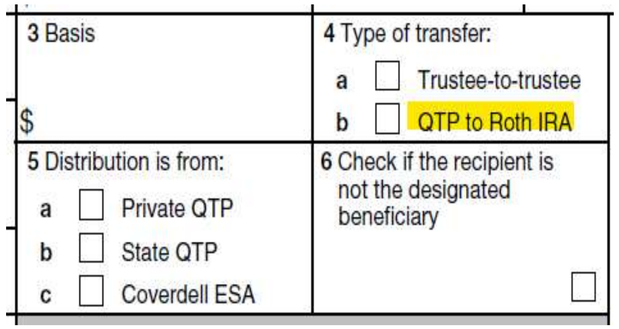
Form **1099-NEC** (Rev. 4-2025) (keep for your records) www.irs.gov/Form1099NEC Department of the Treasury - Internal Revenue Service

1099-R New Code for Box 7

- Qualified charitable distribution (QCD) claimed by taxpayer under section 408(d)(8).

1099-Q

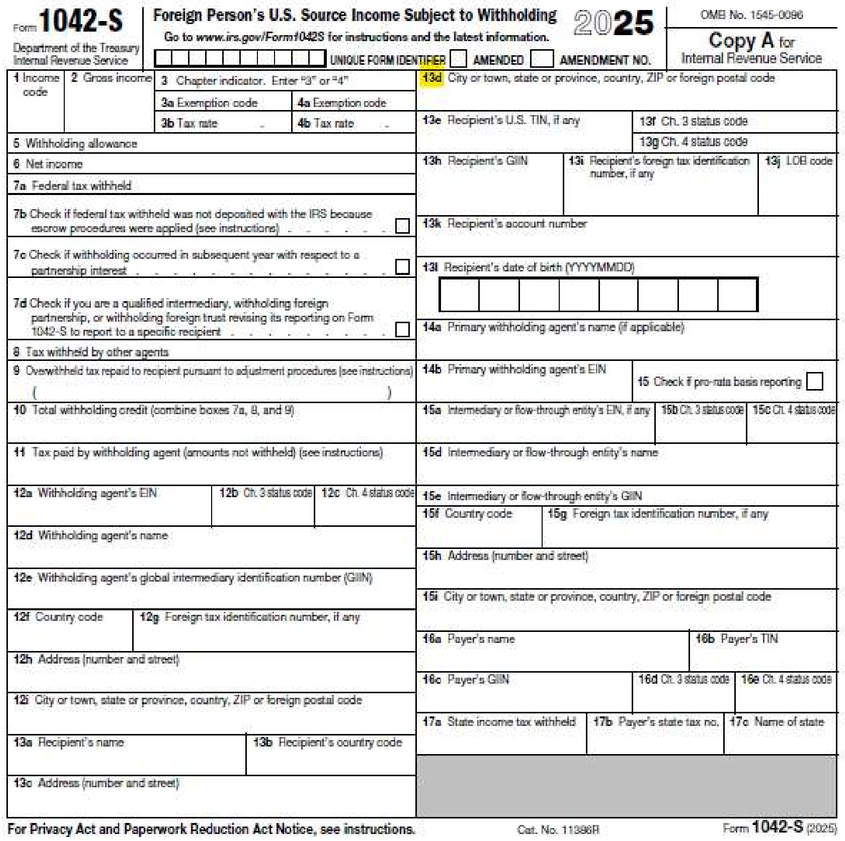
- New selection in Box 4
- Box 5 format was revised


3 Basis	4 Type of transfer:
$	a ☐ Trustee-to-trustee b ☐ QTP to Roth IRA
5 Distribution is from: a ☐ Private QTP b ☐ State QTP c ☐ Coverdell ESA	6 Check if the recipient is not the designated beneficiary ☐

2025 Form Updates 1042-S

Box 13d

- City or town, state or province, country, ZIP or foreign postal code
- Moved to adjacent column
- Could affect mailing the form using a window envelope



Form **1042-S** Department of the Treasury Internal Revenue Service

Foreign Person's U.S. Source Income Subject to Withholding 2025

Go to *www.irs.gov/Form1042S* for instructions and the latest information.

UNIQUE FORM IDENTIFIER ☐ AMENDED ☐ AMENDMENT NO.

OMB No. 1545-0096

Copy A for Internal Revenue Service

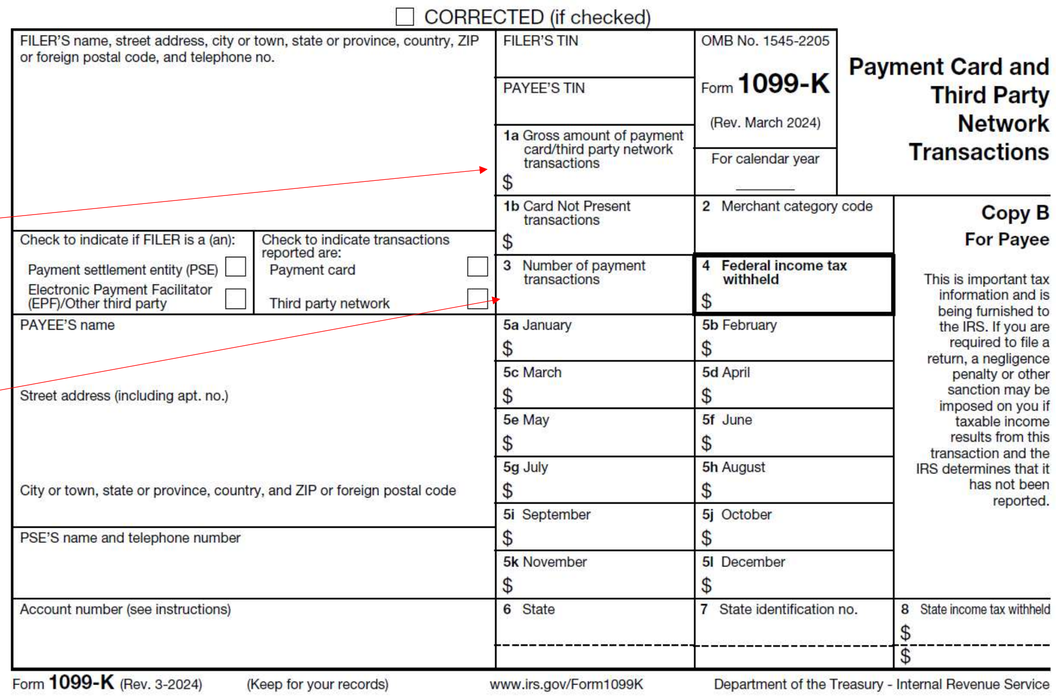
1 Income code	2 Gross income	3 Chapter indicator. Enter "3" or "4"	
		3a Exemption code	4a Exemption code
		3b Tax rate	4b Tax rate
5 Withholding allowance			
6 Net income			
7a Federal tax withheld			
7b Check if federal tax withheld was not deposited with the IRS because escrow procedures were applied (see instructions) ☐			
7c Check if withholding occurred in subsequent year with respect to a partnership interest ☐			
7d Check if you are a qualified intermediary, withholding foreign partnership, or withholding foreign trust revising its reporting on Form 1042-S to report to a specific recipient ☐			
8 Tax withheld by other agents			
9 Overwithheld tax repaid to recipient pursuant to adjustment procedures (see instructions) ( )			
10 Total withholding credit (combine boxes 7a, 8, and 9)			
11 Tax paid by withholding agent (amounts not withheld) (see instructions)			
12a Withholding agent's EIN	12b Ch. 3 status code	12c Ch. 4 status code	
12d Withholding agent's name			
12e Withholding agent's global intermediary identification number (GIIN)			
12f Country code	12g Foreign tax identification number, if any		
12h Address (number and street)			
12i City or town, state or province, country, ZIP or foreign postal code			
13a Recipient's name	13b Recipient's country code		
13c Address (number and street)			

13d City or town, state or province, country, ZIP or foreign postal code			
13e Recipient's U.S. TIN, if any	13f Ch. 3 status code		
	13g Ch. 4 status code		
13h Recipient's GIIN	13i Recipient's foreign tax identification number, if any	13j LOB code	
13k Recipient's account number			
13l Recipient's date of birth (YYYYMMDD)			
14a Primary withholding agent's name (if applicable)			
14b Primary withholding agent's EIN	15 Check if pro-rata basis reporting ☐		
15a Intermediary or flow-through entity's EIN, if any	15b Ch. 3 status code	15c Ch. 4 status code	
15d Intermediary or flow-through entity's name			
15e Intermediary or flow-through entity's GIIN			
15f Country code	15g Foreign tax identification number, if any		
15h Address (number and street)			
15i City or town, state or province, country, ZIP or foreign postal code			
16a Payer's name	16b Payer's TIN		
16c Payer's GIIN	16d Ch. 3 status code	16e Ch. 4 status code	
17a State income tax withheld	17b Payer's state tax no.	17c Name of state	

For Privacy Act and Paperwork Reduction Act Notice, see instructions. Cat. No. 11386R Form **1042-S** (2025)

2025 Form 1099-K

TPSO Threshold
Annual gross payments exceeding
$20,000 and 200 transactions



☐ CORRECTED (if checked)

FILER'S name, street address, city or town, state or province, country, ZIP or foreign postal code, and telephone no.	FILER'S TIN	OMB No. 1545-2205	**Payment Card and Third Party Network Transactions**
	PAYEE'S TIN	Form **1099-K** (Rev. March 2024)	
	1a Gross amount of payment card/third party network transactions $	For calendar year _____	
	1b Card Not Present transactions $	2 Merchant category code	**Copy B For Payee**
Check to indicate if FILER is a (an): Payment settlement entity (PSE) ☐ Electronic Payment Facilitator (EPF)/Other third party ☐ — Check to indicate transactions reported are: Payment card ☐ Third party network ☐	3 Number of payment transactions	4 **Federal income tax withheld** $	This is important tax information and is being furnished to the IRS. If you are required to file a return, a negligence penalty or other sanction may be imposed on you if taxable income results from this transaction and the IRS determines that it has not been reported.
PAYEE'S name	5a January $	5b February $	
Street address (including apt. no.)	5c March $	5d April $	
	5e May $	5f June $	
City or town, state or province, country, and ZIP or foreign postal code	5g July $	5h August $	
	5i September $	5j October $	
PSE'S name and telephone number	5k November $	5l December $	
Account number (see instructions)	6 State	7 State identification no.	8 State income tax withheld $ $

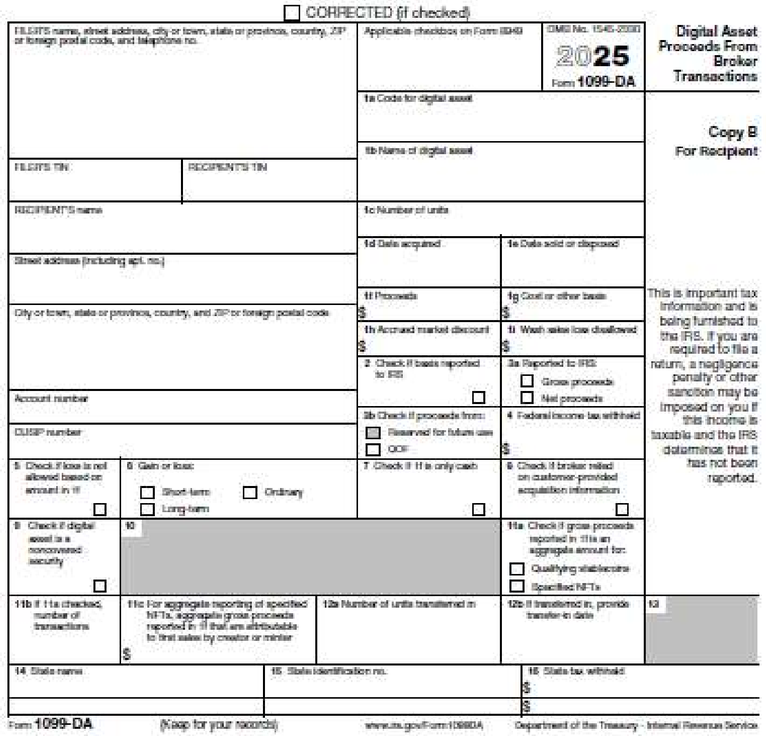
Form **1099-K** (Rev. 3-2024) (Keep for your records) www.irs.gov/Form1099K Department of the Treasury - Internal Revenue Service

https://www.irs.gov/newsroom/form-1099-k-faqs-third-party-filers-of-form-1099-k

2025 Form 1099-DA

Custodial brokers of digital assets report cryptocurrency and and non-fungible tokens (NFTs)

- Report digital asset sale and exchange transactions to IRS by March 31
- Furnish payee statements to most recipients by February 15


☐ CORRECTED (if checked)

FILER'S name, street address, city or town, state or province, country, ZIP or foreign postal code, and telephone no.	Applicable checkbox on Form 8949	OMB No. 1545-2000 2025 Form 1099-DA	Digital Asset Proceeds From Broker Transactions
	1a Code for digital asset		Copy B For Recipient
FILER'S TIN / RECIPIENT'S TIN	1b Name of digital asset		
RECIPIENT'S name	1c Number of units		
Street address (including apt. no.)	1d Date acquired	1e Date sold or disposed	
City or town, state or province, country, and ZIP or foreign postal code	1f Proceeds $	1g Cost or other basis $	This is important tax information and is being furnished to the IRS. If you are required to file a return, a negligence penalty or other sanction may be imposed on you if this income is taxable and the IRS determines that it has not been reported.
	1h Accrued market discount $	1i Wash sale loss disallowed $	
Account number	2 Check if basis reported to IRS ☐	3a Reported to IRS: ☐ Gross proceeds ☐ Net proceeds	
CUSIP number	3b Check if proceeds from: ☐ Reserved for future use ☐ QOF	4 Federal income tax withheld $	
5 Check if loss is not allowed based on amount in 1f ☐	6 Gain or loss: ☐ Short-term ☐ Ordinary ☐ Long-term	7 Check if 1f is only cash ☐	8 Check if broker relied on customer-provided acquisition information ☐
9 Check if digital asset is a noncovered security ☐	10		11a Check if gross proceeds reported in 1f is an aggregate amount for: ☐ Qualifying stablecoins ☐ Specified NFTs
11b If 11a checked, number of transactions	11c For aggregate reporting of specified NFTs, aggregate gross proceeds reported in 1f that are attributable to first sales by creator or minter $	12a Number of units transferred in	12b If transferred in, provide transfer-in date	13
14 State name	15 State identification no.	16 State tax withheld $ $	

Form 1099-DA (Keep for your records) www.irs.gov/Form1099DA Department of the Treasury - Internal Revenue Service

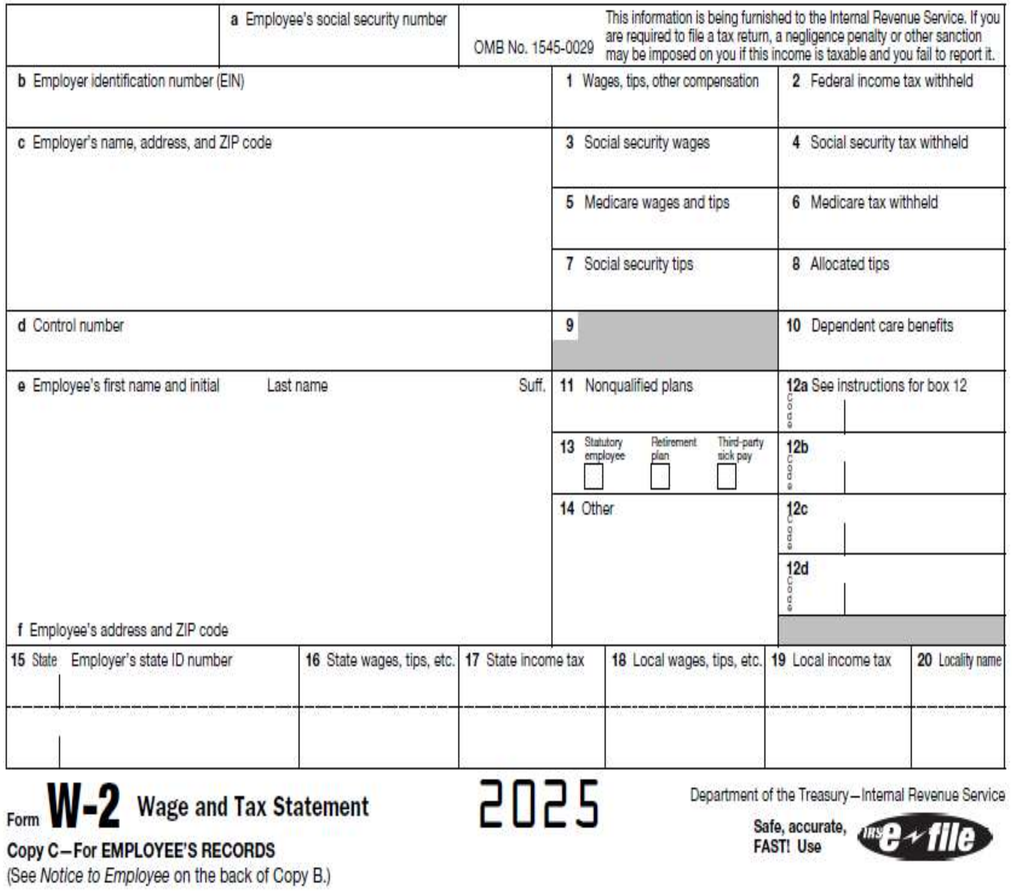
https://www.irs.gov/forms-pubs/about-form-1099-da

FORM W-2 UPDATES

FORMSTAX efile4biz™

2025 Form W-2 Updates

- File Copy A to SSA
- Furnish Copies B, C, and 2 to your employees by February 2, 2026.



	a Employee's social security number	OMB No. 1545-0029	This information is being furnished to the Internal Revenue Service. If you are required to file a tax return, a negligence penalty or other sanction may be imposed on you if this income is taxable and you fail to report it.
b Employer identification number (EIN)		1 Wages, tips, other compensation	2 Federal income tax withheld
c Employer's name, address, and ZIP code		3 Social security wages	4 Social security tax withheld
		5 Medicare wages and tips	6 Medicare tax withheld
		7 Social security tips	8 Allocated tips
d Control number		9	10 Dependent care benefits
e Employee's first name and initial	Last name Suff.	11 Nonqualified plans	12a See instructions for box 12 Code
		13 Statutory employee ☐ Retirement plan ☐ Third-party sick pay ☐	12b Code
		14 Other	12c Code
			12d Code
f Employee's address and ZIP code			

15 State	Employer's state ID number	16 State wages, tips, etc.	17 State income tax	18 Local wages, tips, etc.	19 Local income tax	20 Locality name

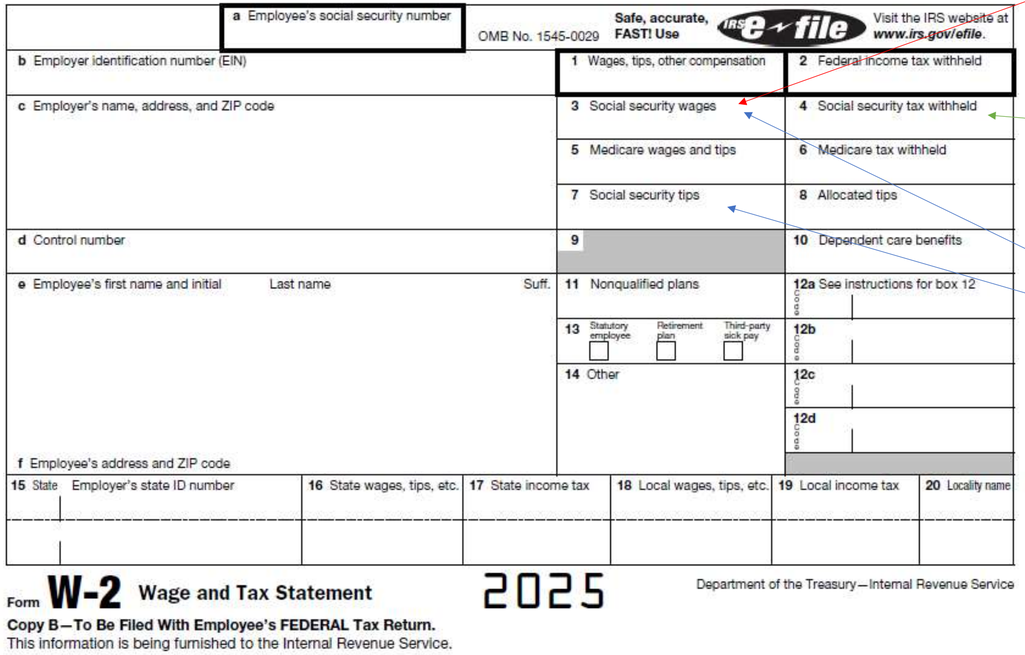
Form **W-2** Wage and Tax Statement 2025 Department of the Treasury—Internal Revenue Service

Copy C—For EMPLOYEE'S RECORDS

(See *Notice to Employee* on the back of Copy B.)

Safe, accurate, FAST! Use IRS e-file

2025 Form W-2 Annual Amounts Updated


a Employee's social security number
OMB No. 1545-0029
Safe, accurate, FAST! Use IRS e-file
Visit the IRS website at www.irs.gov/efile.

b Employer identification number (EIN)	1 Wages, tips, other compensation	2 Federal income tax withheld
c Employer's name, address, and ZIP code	3 Social security wages	4 Social security tax withheld
	5 Medicare wages and tips	6 Medicare tax withheld
	7 Social security tips	8 Allocated tips
d Control number	9	10 Dependent care benefits
e Employee's first name and initial Last name Suff.	11 Nonqualified plans	12a See instructions for box 12
	13 Statutory employee ☐ Retirement plan ☐ Third-party sick pay ☐	12b
	14 Other	12c
		12d
f Employee's address and ZIP code		

15 State Employer's state ID number	16 State wages, tips, etc.	17 State income tax	18 Local wages, tips, etc.	19 Local income tax	20 Locality name

Form **W-2** Wage and Tax Statement 2025 Department of the Treasury—Internal Revenue Service

Copy B—To Be Filed With Employee's FEDERAL Tax Return.
This information is being furnished to the Internal Revenue Service.

Box 3 (Social Security Wages)
Max. $176,100

Box 4 (Social Security Tax)
Max. $10,918.20

Box 3 (Social Security Wages) plus
Box 7 (Social Security Tips)
Max. $176,100

Household employer wage base
Min. $2,800

Polling Question 1

How many 1099 Forms do you typically file for your clients each year?

A Under 10

B 11-100

C 101-1,000

D 1,001-10,000

E More than 10,000

FORMSTAX efile4biz™

ELECTRONIC FILING UPDATES

FORMSTAX efile4biz™

Filing Deadlines: 2025 forms filed in 2026

Tax Forms	Recipient Deadline	Paper Filing Deadline	E-file Deadline
1099-NEC	2/02/2026 Monday	2/02/2026 Monday	2/02/2026 Monday
1099-MISC* (No Data in Boxes 8 or 10)	2/02/2026 Monday	3/02/2026 Monday	3/31/2026 Tuesday
1099-MISC* (With Data in Boxes 8 or 10)	2/16/2026 Monday	3/02/2026 Monday	3/31/2026 Tuesday
1099-B*, 1099-S	2/16/2026 Monday	3/02/2026 Monday	3/31/2026 Tuesday
1042-S	3/16/2026 Monday	3/16/2026 Monday	3/16/2026 Monday
1098, 1098-T, 1099-C, 1099-DIV*, 1099-G, 1099-INT*, 1099-K, 1099-R	2/02/2026 Monday	3/02/2026 Monday	3/31/2026 Tuesday
W-2	2/02/2026 Monday	2/02/2026 Monday	2/02/2026 Monday

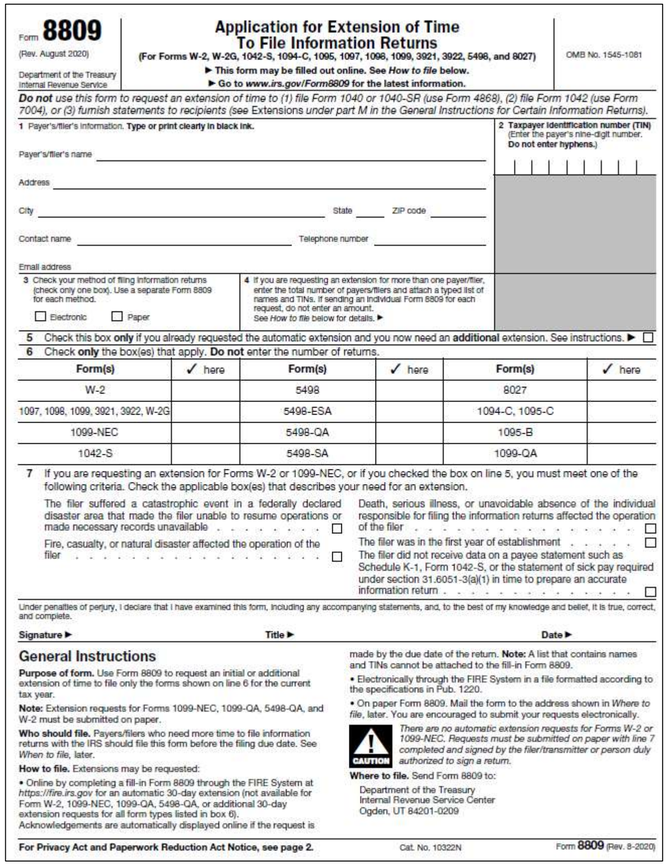
*For reporting by trustees and middlemen of WHFITs: Forms 1099-B, 1099-DIV, 1099-INT and 1099-MISC are due 3/16/2026.

https://www.irs.gov/instructions/i1099gi

Form 8809

Application for Extension of Time to File Information Returns

- Can be submitted electronically
  (Pub. 1220 format)
- Complete the fill-in Form 8809 at https://fire.irs.gov
  (Requires a TCC)
- Filed by paper
  (the only option for W-2 and 1099-NEC requests)



Form **8809** (Rev. August 2020) Department of the Treasury Internal Revenue Service

Application for Extension of Time To File Information Returns

(For Forms W-2, W-2G, 1042-S, 1094-C, 1095, 1097, 1098, 1099, 3921, 3922, 5498, and 8027)

▶ **This form may be filled out online. See *How to file* below.**

▶ **Go to *www.irs.gov/Form8809* for the latest information.**

OMB No. 1545-1081

Do not *use this form to request an extension of time to (1) file Form 1040 or 1040-SR (use Form 4868), (2) file Form 1042 (use Form 7004), or (3) furnish statements to recipients (see* Extensions *under part M in the General Instructions for Certain Information Returns).*

1 Payer's/filer's information. **Type or print clearly in black ink.**

Payer's/filer's name

Address

City State ZIP code

Contact name Telephone number

Email address

2 Taxpayer identification number (TIN) (Enter the payer's nine-digit number. **Do not enter hyphens.**)

3 Check your method of filing information returns (check only one box). Use a separate Form 8809 for each method.

☐ Electronic ☐ Paper

4 If you are requesting an extension for more than one payer/filer, enter the total number of payers/filers and attach a typed list of names and TINs. If sending an Individual Form 8809 for each request, do not enter an amount. *See How to file* below for details. ▶

5 Check this box **only** if you already requested the automatic extension and you now need an **additional** extension. See instructions. ▶ ☐

6 Check **only** the box(es) that apply. **Do not** enter the number of returns.

Form(s)	✓ here	Form(s)	✓ here	Form(s)	✓ here
W-2		5498		8027	
1097, 1098, 1099, 3921, 3922, W-2G		5498-ESA		1094-C, 1095-C	
1099-NEC		5498-QA		1095-B	
1042-S		5498-SA		1099-QA	

7 If you are requesting an extension for Forms W-2 or 1099-NEC, or if you checked the box on line 5, you must meet one of the following criteria. Check the applicable box(es) that describes your need for an extension.

The filer suffered a catastrophic event in a federally declared disaster area that made the filer unable to resume operations or made necessary records unavailable ☐

Fire, casualty, or natural disaster affected the operation of the filer ☐

Death, serious illness, or unavoidable absence of the individual responsible for filing the information returns affected the operation of the filer ☐

The filer was in the first year of establishment ☐

The filer did not receive data on a payee statement such as Schedule K-1, Form 1042-S, or the statement of sick pay required under section 31.6051-3(a)(1) in time to prepare an accurate information return ☐

Under penalties of perjury, I declare that I have examined this form, including any accompanying statements, and, to the best of my knowledge and belief, it is true, correct, and complete.

Signature ▶ **Title ▶** **Date ▶**

General Instructions

Purpose of form. Use Form 8809 to request an initial or additional extension of time to file only the forms shown on line 6 for the current tax year.

Note: Extension requests for Forms 1099-NEC, 1099-QA, 5498-QA, and W-2 must be submitted on paper.

Who should file. Payers/filers who need more time to file information returns with the IRS should file this form before the filing due date. See *When to file*, later.

How to file. Extensions may be requested:

- Online by completing a fill-in Form 8809 through the FIRE System at *https://fire.irs.gov* for an automatic 30-day extension (not available for Form W-2, 1099-NEC, 1099-QA, 5498-QA, or additional 30-day extension requests for all form types listed in box 6). Acknowledgements are automatically displayed online if the request is made by the due date of the return. **Note:** A list that contains names and TINs cannot be attached to the fill-in Form 8809.
- Electronically through the FIRE System in a file formatted according to the specifications in Pub. 1220.
- On paper Form 8809. Mail the form to the address shown in *Where to file*, later. You are encouraged to submit your requests electronically.

CAUTION *There are no automatic extension requests for Forms W-2 or 1099-NEC. Requests must be submitted on paper with line 7 completed and signed by the filer/transmitter or person duly authorized to sign a return.*

Where to file. Send Form 8809 to:

Department of the Treasury
Internal Revenue Service Center
Ogden, UT 84201-0209

For Privacy Act and Paperwork Reduction Act Notice, see page 2. Cat. No. 10322N Form **8809** (Rev. 8-2020)

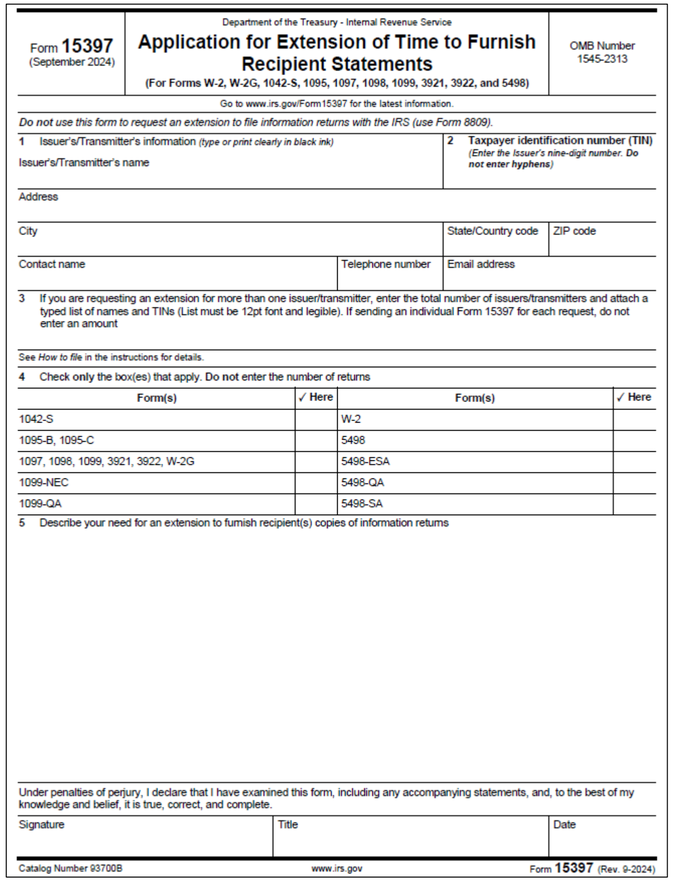
https://www.irs.gov/taxtopics/tc803

Form 15397

Application for Extension of Time to Furnish Recipient Statements

- Submit by fax
  Internal Revenue Service Technical Services Operation
  Attn: Extension of Time Coordinator
  Fax: 877-477-0572
  (International: 304-579-4105)

- 30 day extension



Form **15397** (September 2024)

Department of the Treasury - Internal Revenue Service

Application for Extension of Time to Furnish Recipient Statements

(For Forms W-2, W-2G, 1042-S, 1095, 1097, 1098, 1099, 3921, 3922, and 5498)

OMB Number 1545-2313

Go to www.irs.gov/Form15397 for the latest information.

Do not use this form to request an extension to file information returns with the IRS (use Form 8809).

1 Issuer's/Transmitter's information *(type or print clearly in black ink)*

Issuer's/Transmitter's name

2 **Taxpayer identification number (TIN)** *(Enter the Issuer's nine-digit number. Do not enter hyphens)*

Address

City | State/Country code | ZIP code

Contact name | Telephone number | Email address

3 If you are requesting an extension for more than one issuer/transmitter, enter the total number of issuers/transmitters and attach a typed list of names and TINs (List must be 12pt font and legible). If sending an individual Form 15397 for each request, do not enter an amount

See *How to file* in the instructions for details.

4 Check only the box(es) that apply. Do not enter the number of returns

Form(s)	✓ Here	Form(s)	✓ Here
1042-S		W-2	
1095-B, 1095-C		5498	
1097, 1098, 1099, 3921, 3922, W-2G		5498-ESA	
1099-NEC		5498-QA	
1099-QA		5498-SA	

5 Describe your need for an extension to furnish recipient(s) copies of information returns

Under penalties of perjury, I declare that I have examined this form, including any accompanying statements, and, to the best of my knowledge and belief, it is true, correct, and complete.

Signature | Title | Date

Catalog Number 93700B www.irs.gov Form **15397** (Rev. 9-2024)

https://www.irs.gov/forms-pubs/extension-of-time-to-furnish-statements-to-recipients

Reasons for Potential Penalties

Section 6721 Applies to Forms Filed

- (Fail to file a correct information return and cannot show reasonable cause)

- fail to file timely
- fail to include all correct information required
- file on paper when you were required to e-file
- report an incorrect/ or missing TIN
- fail to file paper forms that are machine readable

Section 6722 Applies to furnishing recipient copies

- (Fail to provide correct payee statements and cannot show reasonable cause)

- fail to file timely
- fail to include all correct information required
- include incorrect information
- report an incorrect/ or missing TIN

https://www.irs.gov/payments/penalty-relief-for-reasonable-cause

2025 Penalty Amounts

Failure to File Correct Information Returns by the Due Date (Section 6721)				
	Within 30 days of Filing due date (by March 30 if the due date is February 28)	More than 30 days after the due date but by 8/1	After 8/1 Or not corrected	Failure to file (Intentional Disregard)
Penalty per Form	$60	$130	$340	$680 or more
Maximum Annual Penalty	$683,000 per year ($239,000 for small businesses)*	$2,049,000 per year ($683,000 for small businesses)*	$4,098,000 per year ($1,366,000 for small businesses)*	No Maximum

Failure to Furnish Correct Payee Statements by the Due Date (Section 6722)
An additional penalty that is applied in the same manner, and with the same amounts, as Section 6721 Failure to file correct information returns by the due date.

*You are a small business if your average annual gross receipts for the 3 most recent tax years (or for the period you were in existence, if shorter) ending before the calendar year in which the information returns were due are $5 million or less.

https://www.irs.gov/pub/irs-pdf/i1099gi.pdf

Letters and Notices

- Letter CP2100 (50+ errors), CP2100A (less than 50 errors)
- Notice 972-CG is the Notice of Proposed Civil Penalty

Use a TIN validation service to verify the contractor TIN

Publication 1586, Reasonable Cause Regulations and Requirements for Missing and Incorrect Name/TINs on Information Returns

Publication 1281, Backup Withholding for Missing and Incorrect Name/TINs

https://www.irs.gov/individuals/understanding-your-cp2100-or-cp2100a-notice

FIRE and IRIS UPDATES

FORMSTAX efile4biz™

FIRE / IRIS System Updates

FIRE and IRIS both active TY25/PY26

- Only in IRIS
  - 1099-DA and 5498-QA,
  - Forms with “Excess golden parachute payments”

FIRE will be retired after December 2026

Tax year 2026 forms filed in Processing year 2027

- IRIS only electronic way to file information returns
- Corrections and Prior Year must be filed in IRIS

https://www.irs.gov/e-file-providers/filing-information-returns-electronically-fire

Polling Question 2

How do you file your information returns?

A FIRE

B IRIS

C Paper

D A 3rd Party does it for me

E I don't file at all

FORMSTAX efile4biz™

ACA UPDATES

FORMSTAX
efile4biz™

ACA Form Updates

- Employers must still prepare and file Forms 1095-C and 1095-B with the IRS each year. (generally e-filed by March 31)
- No Longer Required to Automatically Furnish Employee Copies
- Post a notice of availability that is “clear, conspicuous and accessible”
- If requested prior to January 1, must furnish by January 31. If requested after January 1, must furnish within 30 days of the request.

https://www.irs.gov/affordable-care-act/employers/information-reporting-by-applicable-large-employers

ACA Filing Deadlines

The 2026 deadlines for filing 2025 ACA forms are:

- IRS e-filing deadline - Tuesday, March 31, 2026
- IRS paper-filing deadline - Monday, March 2, 2026
- Recipient Deadline - If requested prior to January 1, must furnish by January 31. If requested after January 1, must furnish within 30 days of the request.

https://www.irs.gov/affordable-care-act/employers/information-reporting-by-applicable-large-employers

ACA Penalties for 2025

Employer Shared Responsibility Payments

Section 4980H(a)
Failure to offer coverage to 95% of eligible employees:

- The penalty is $241.67/month or $2,900 annually
  (per employee minus the first 30)

Section 4980H(b)
Failure to offer coverage that meets a minimum value or is not affordable:

- The penalty is $362.50/month or $4,350 annually
  (per employee who obtains a premium tax credit)

https://www.irs.gov/affordable-care-act/employers/questions-and-answers-on-employer-shared-responsibility-provisions-under-the-affordable-care-act

Polling Question 3

Do you file ACA forms?

A No, not part of my business

B No, I advise my clients not to file

C A 3rd Party files my ACA forms

D Yes, this is something I handle for my customers

FORMSTAX efile4biz™

INDEPENDENT CONTRACTOR RULES

FORMSTAX efile4biz™

Contractor Filing Requirements

1. NO Form 1099-NEC to corporations, even S corps
   - Some exceptions e.g. Attorneys' fees reported in Box 1, etc.

2. Payment at least $600 for services rendered
   - Must furnish Form 1099-NEC to the recipient and file the form with the IRS by Feb. 02, 2026

3. NO TIN, SSN or EIN
   - anticipate paying at least $600 for the year
   - must backup withhold 24% of the payment
   - report the tax withheld in Box 4 of the 1099-NEC

https://www.irs.gov/businesses/small-businesses-self-employed/independent-contractor-self-employed-or-employee

Correctly Identify Independent Contractors

Behavioral control covers facts that show if the business has a right to direct and control what work is accomplished and how the work is done, through instructions, training, or other means.

Financial control covers facts that show if the business has a right to direct or control the financial and business aspects of the worker's job.
This includes:
The extent to which the worker has unreimbursed business expenses
The extent of the worker's investment in the facilities or tools used in performing services
The extent to which the worker makes their services available to the relevant market
How the business pays the worker, and
The extent to which the worker can realize a profit or incur a loss

Relationship of the parties covers facts that show the type of relationship the parties had.
This includes:
Written contracts or oral agreements describing the relationship the parties intended to create
Whether the business provides the worker with employee-type benefits, such as insurance, a pension plan, vacation pay, or sick pay
The permanency of the relationship, and
The extent to which services performed by the worker are a key aspect of the regular business of the company

Independent Contractor or Employee
https://www.irs.gov/pub/irs-pdf/p1779.pdf

Incorrect Independent Contractor Filings

Filed a W-2 or 1099-MISC instead of the 1099-NEC:

- File a W-2C or 1099-MISC correction to report zero in the amount fields to negate the previously reported amounts
- File Form 1099-NEC to report the income
- Penalty amounts may result from filing the correct form late

Polling Question 4

Do you file information returns other than 1099s?

A Yes

B No

FORMSTAX efile4biz™

SOLUTIONS TO PROTECT YOUR BUSINESS

FORMSTAX efile4biz™

E-filing Overview

- Quick & Easy Setup – easy to use interface, Guided Form filing walks you through the process of adding a payer and recipient for quick completion
- Convenience – easy to follow steps, no software, no paper jams and cloud accessibility
- Large Filer Support – plans for supporting teams and/or filers with over 300 forms that want to completely outsource the process
- Accuracy – built-in validations, inline TIN Matching
- Affordability – pay only for the forms you file, no overhead charges
- Built-In Recordkeeping – access to filed forms for at least 4 years, payers & recipients stored year over year
- Security – authorized e-file transmitter, data encrypted and processed at a SOC 2-certified print and mail facility, Multi-Factor Authentication (MFA) option

Service Bureau — Print and Mail Overview

- For large employers that have multiple entities or don’t want to print, mail and/or e-file in house, we offer a service to take care of all of it for you

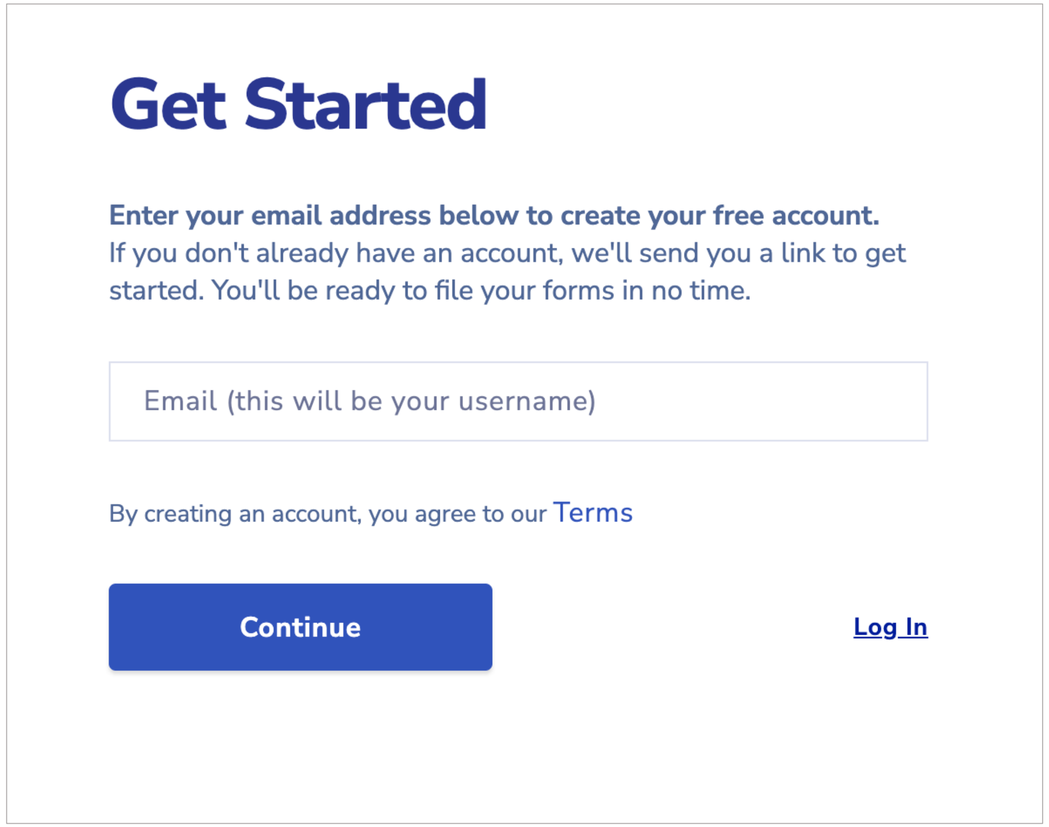
- Minimum is 300 recipients, and includes optional data mapping, bulk mail and CAAS processing
  - Off season, we also offer TIN matching and NCOA address verification
  - State ACA is also available
  - Vehicle Loan Interest (VLI) statements

ELECTRONIC FILING DEMO

FORMSTAX efile4biz™

Efile4Biz Demo

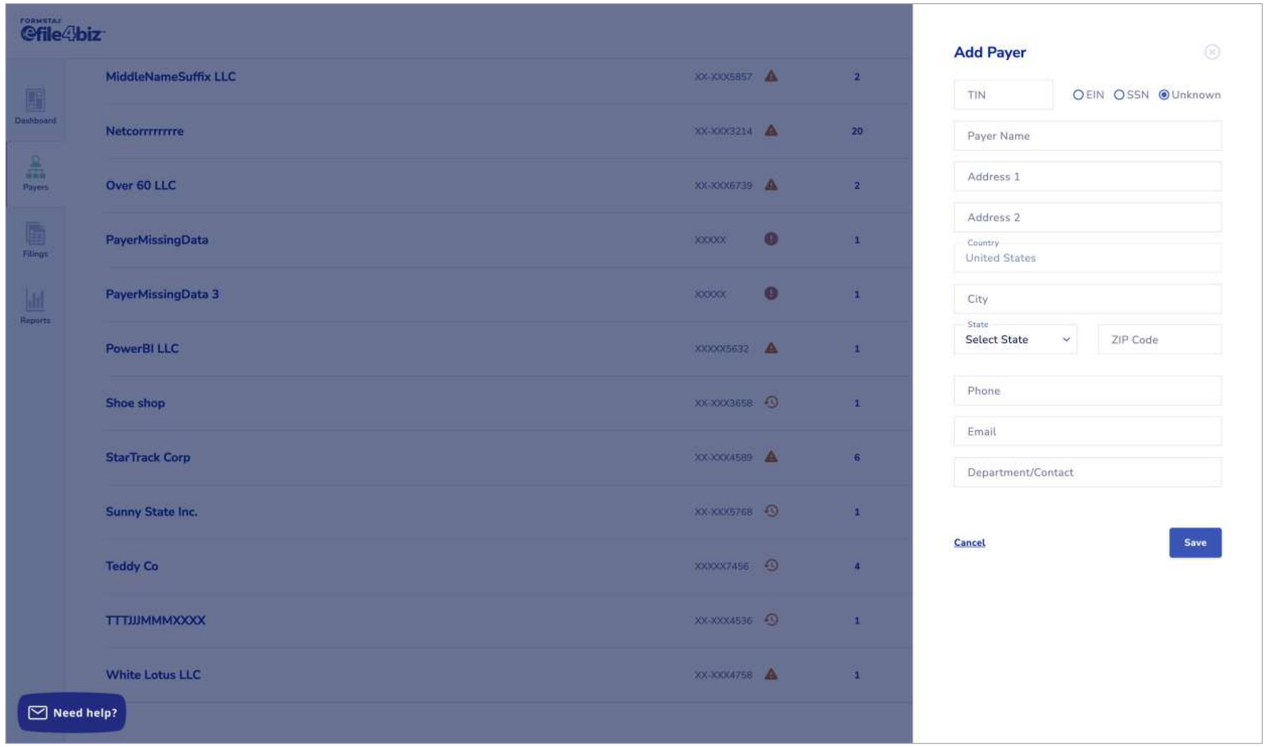
1. Create an account



FORMSTAX efile4biz™

Efile4Biz Demo

2. Set up payer records

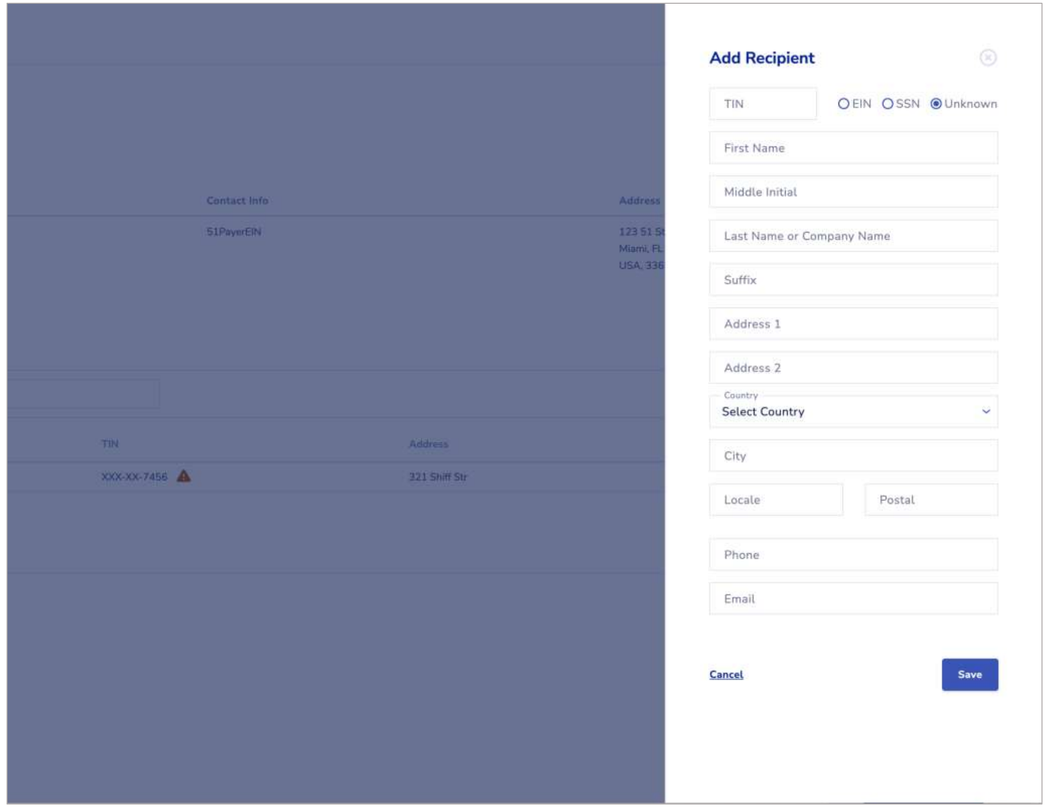


Manually add or bulk upload

This is an example of manual input

Efile4Biz Demo

3. Set up recipient records

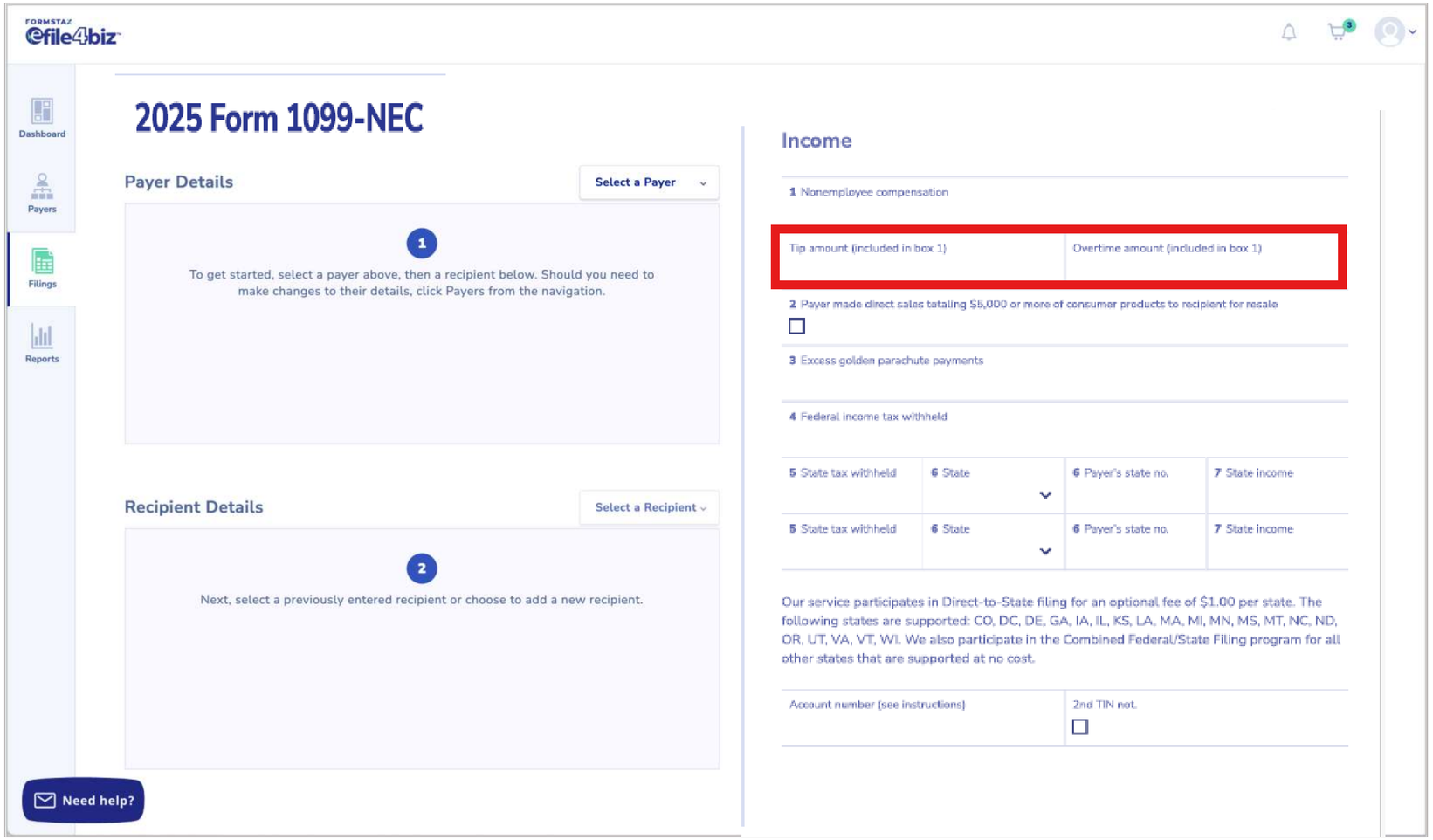


After entering recipient information, all SSNs will be masked

FORMSTAX efile4biz™

Efile4Biz Demo

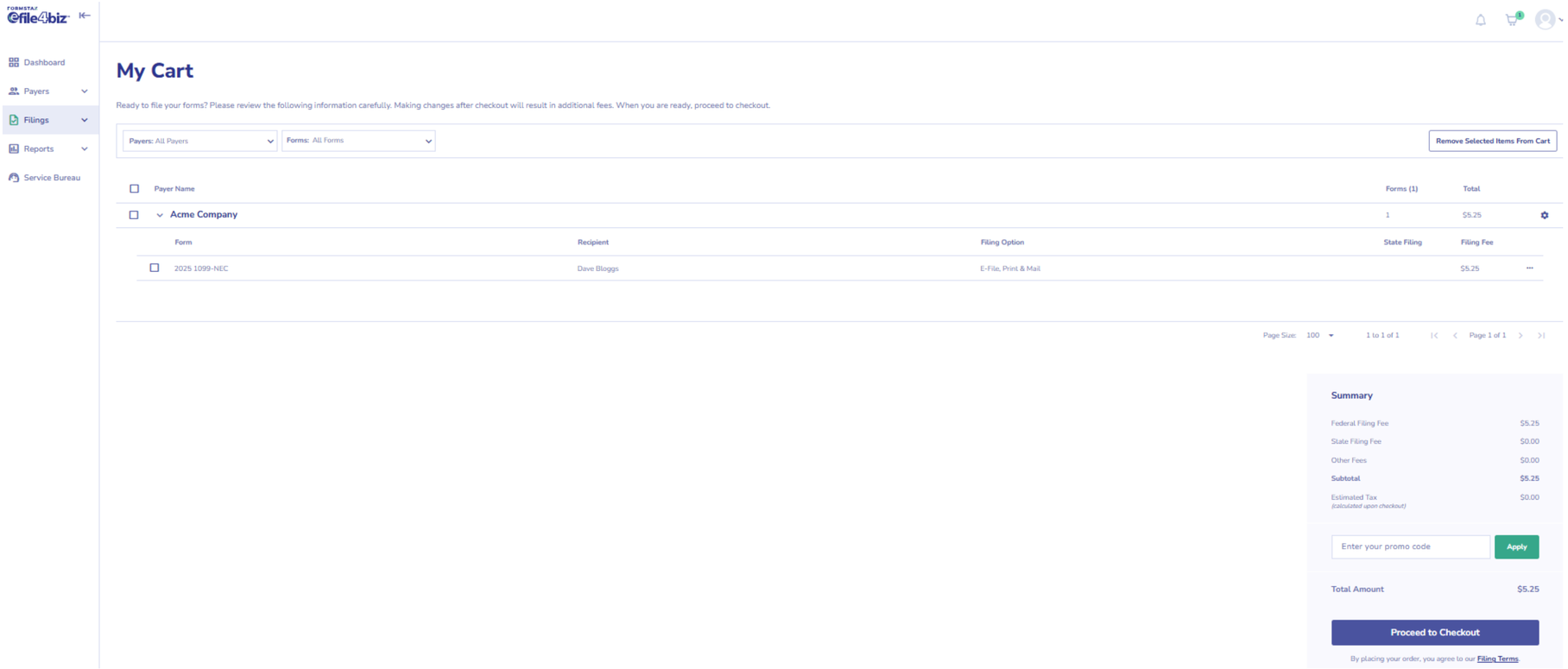
4. Fill out forms



FORMSTAX efile4biz™

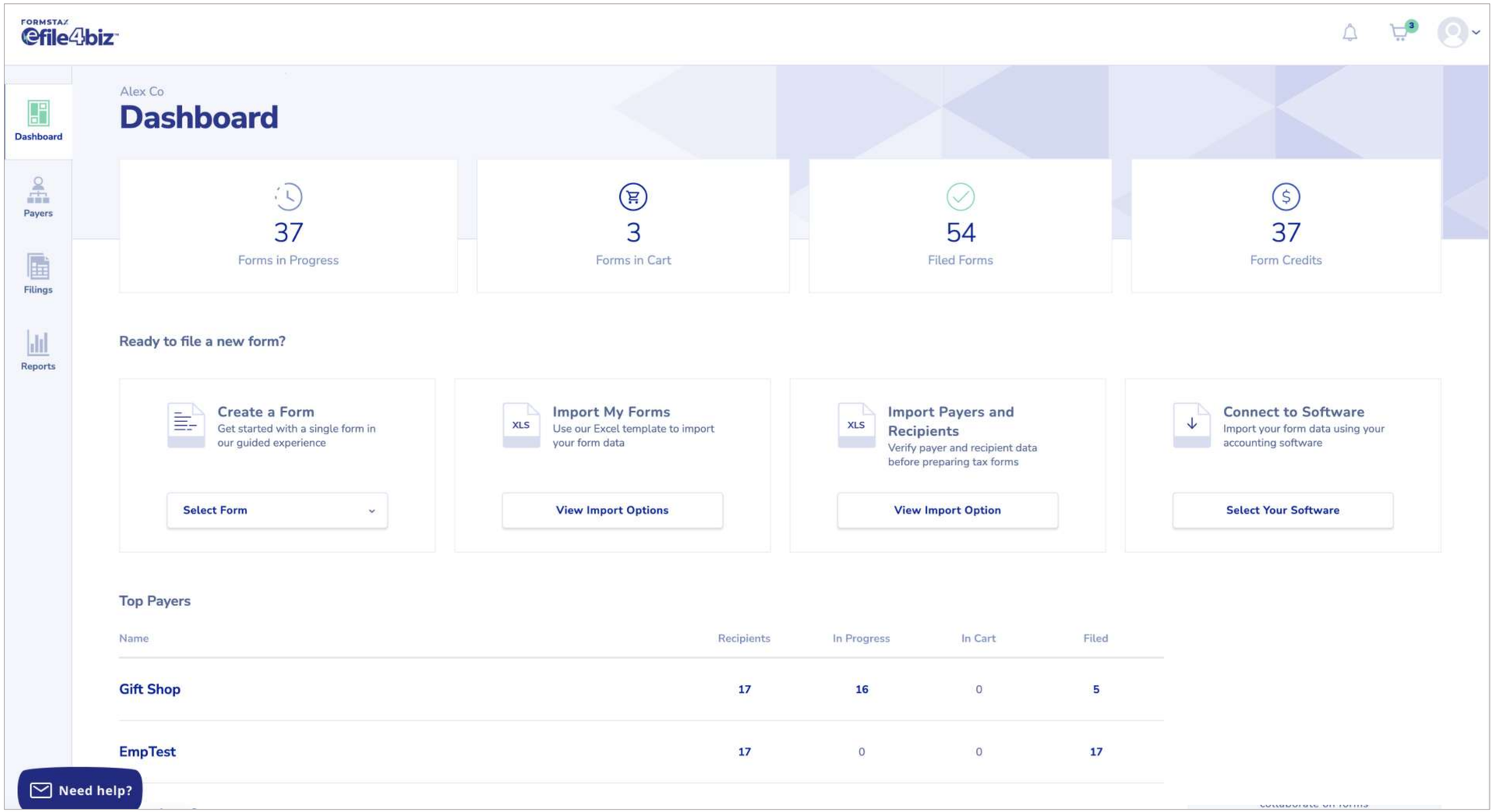
Efile4Biz Demo

5. Review and submit



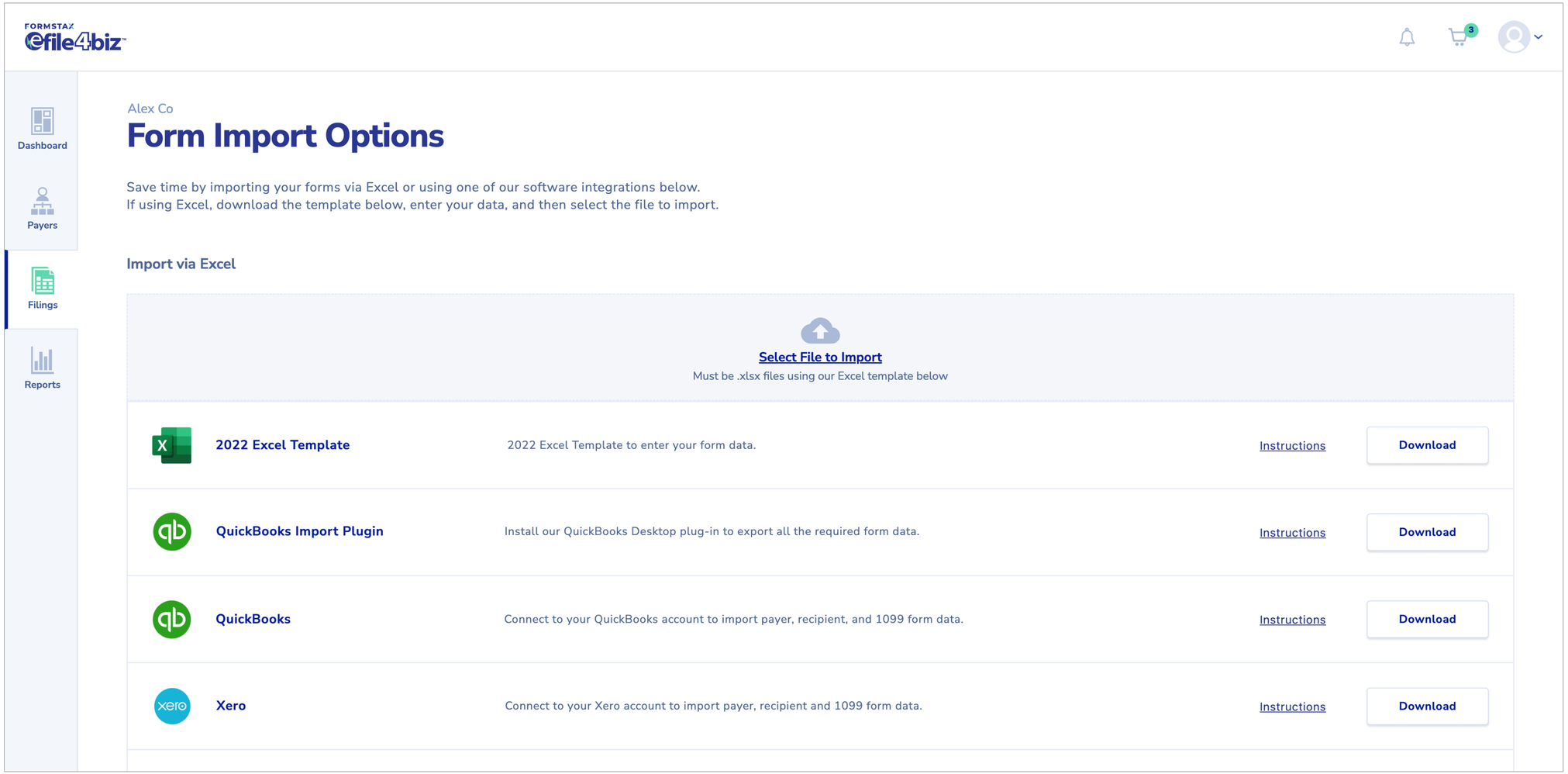
FORMSTAX efile4biz™

Efile4Biz Demo



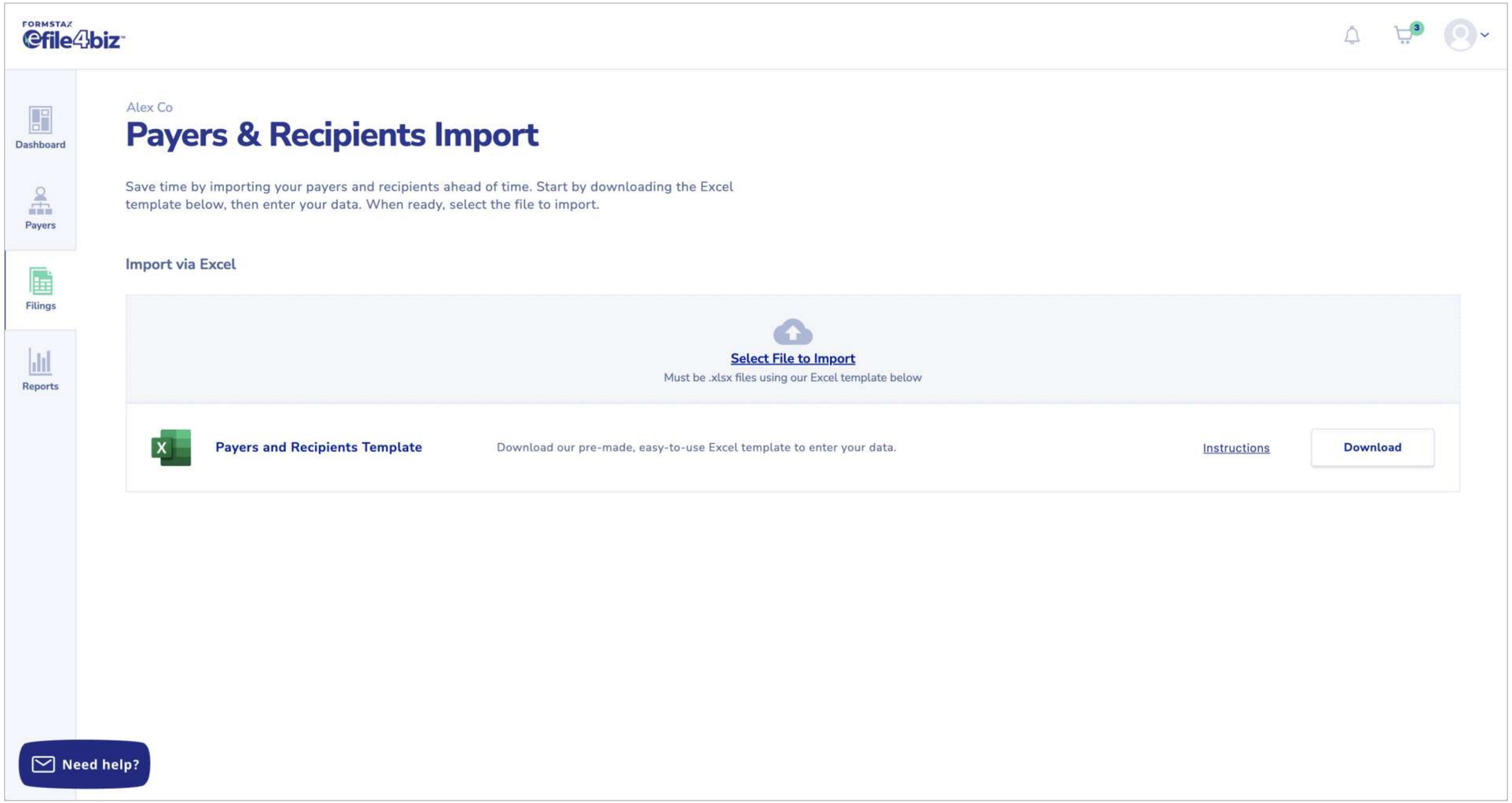
FORMSTAX efile4biz™

Efile4Biz Demo

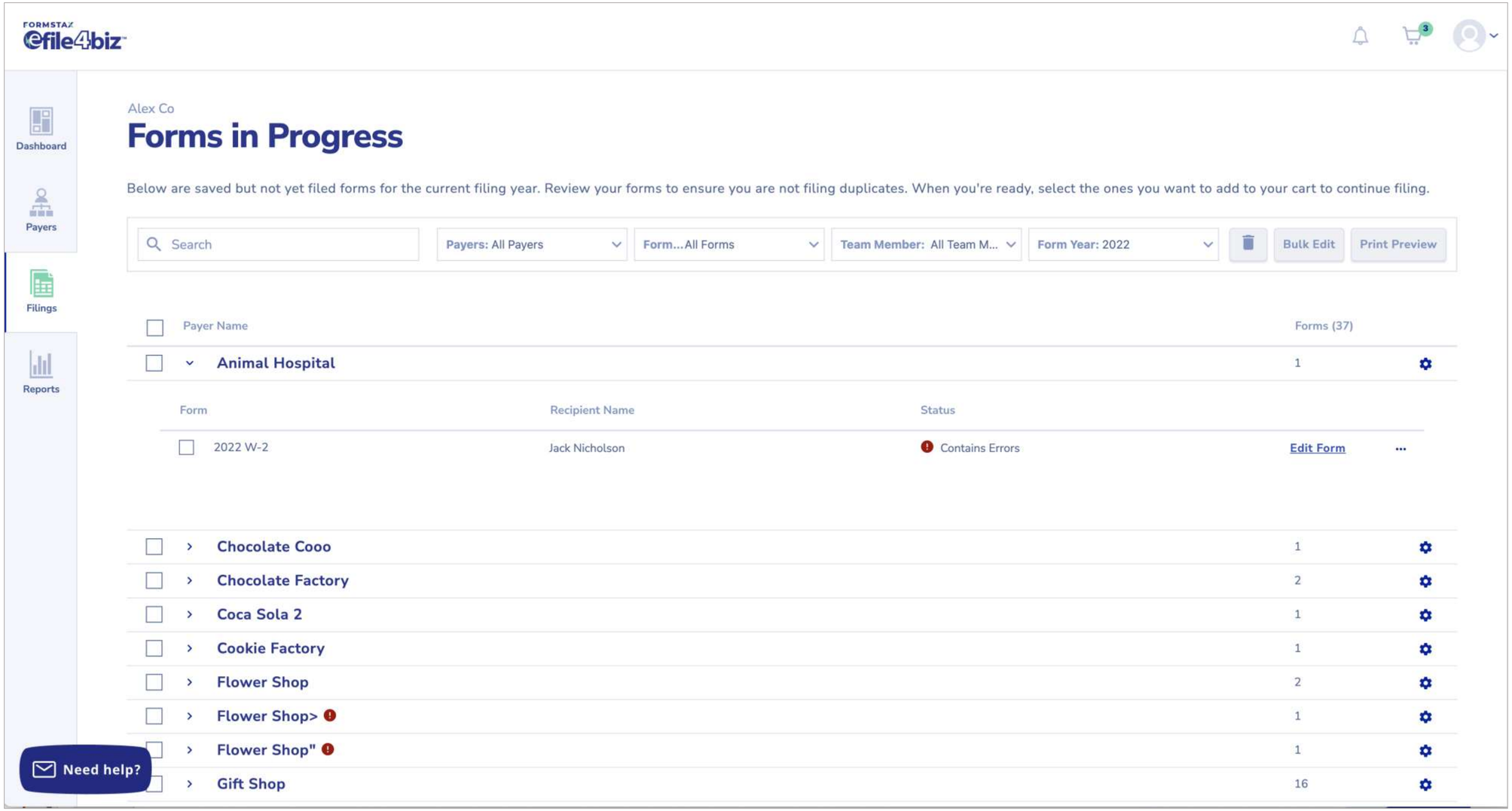


FORMSTAX efile4biz™

Upload Payers and Recipients



Efile4Biz Demo



FORMSTAX efile4biz™

Efile4Biz Demo

https://www.efile4biz.com/forms-and-fees

1098, 1099 & W-2 Options

Quantity	E-File, Print & Mail	E-File Only	Print & Mail Only
Forms/Order	Price/Form	Price/Form	Price/Form
1 - 25	$5.25	$3.40	$2.20
26 - 75	$4.95	$3.25	$2.10
76 - 150	$4.60	$3.00	$2.00
151 - 250	$4.25	$2.75	$1.95
251 - 500	$3.60	$2.40	$1.90
501 - 1000	$3.05	$2.05	$1.75
1001 - 2000	$1.95	$1.25	$1.55
2001 - 5000	$1.65	$1.10	$1.40
5001+	$1.50	$1.00	$1.20

FORMSTAX efile4biz™

Links to Frequently Asked Questions

Pricing: https://www.efile4biz.com/forms-and-fees

Forms: https://www.efile4biz.com/forms-and-fees

Steps for using efile4Biz: https://www.efile4biz.com/how-it-works

Different service levels: https://www.efile4biz.com/e-file-print-and-mail

State filing, CF/SF: https://www.efile4biz.com/faqs#Combined-Federal-State-Filing-Program

1096/W-3: https://www.efile4biz.com/faqs#1096-or-W-3-Forms

Corrections: https://www.efile4biz.com/faqs#edits-corrections

Thank you for attending!
Have a great season

Save 15% off your 1099 and W-2 filings. Enter WEBCPA at check out. Offer expires 1/29/2026.

Discount cannot be used for Direct-to-State Filing, Edits, Corrections, TIN Matching, Form Credits, W-9 Forms, 940/941 Forms, Service Bureau, Previous Year Forms or Subscription Plans or combined with any other offer or applied to previously placed orders. Limit one discount per customer.

FORMSTAX efile4biz™